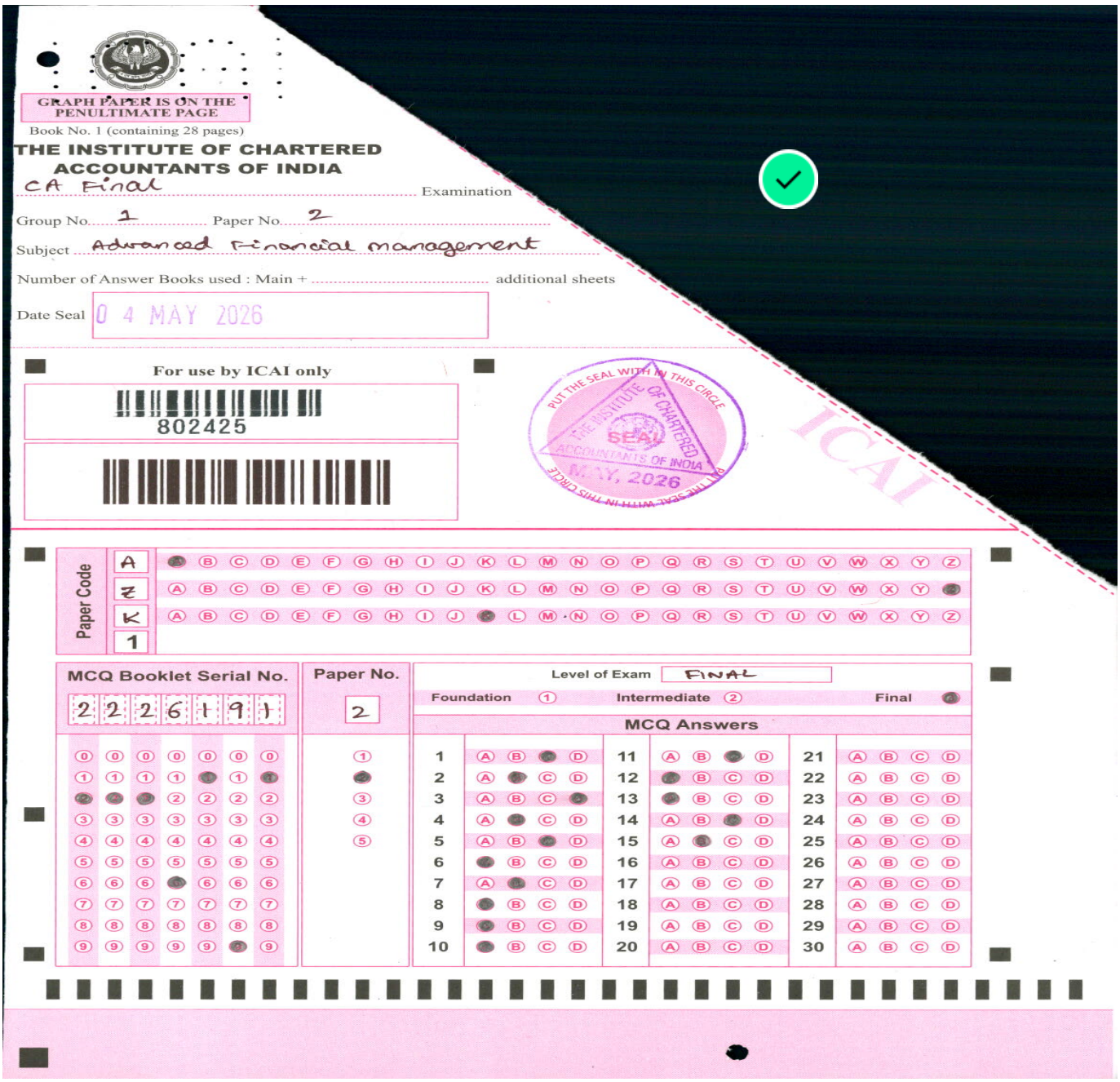
The Institute of Chartered Accountants of India

Code:	FN2AF802425	**Total Marks:**	70
Subject :	02 Advanced Financial Management	**Marks Obtained :**	34



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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA Final Examination

Group No. 1 Paper No. 2

Subject Advanced Financial management

Number of Answer Books used : Main + ... additional sheets

Date Seal 04 MAY 2026

For use by ICAI only

802425

PUT THE SEAL WITHIN THIS CIRCLE THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA SEAL MAY, 2026

ICAI

Paper Code: A Z K 1

MCQ Booklet Serial No.: 2 2 2 6 1 9 1

Paper No.: 2

Level of Exam: FINAL (Foundation ① Intermediate ② Final ●)

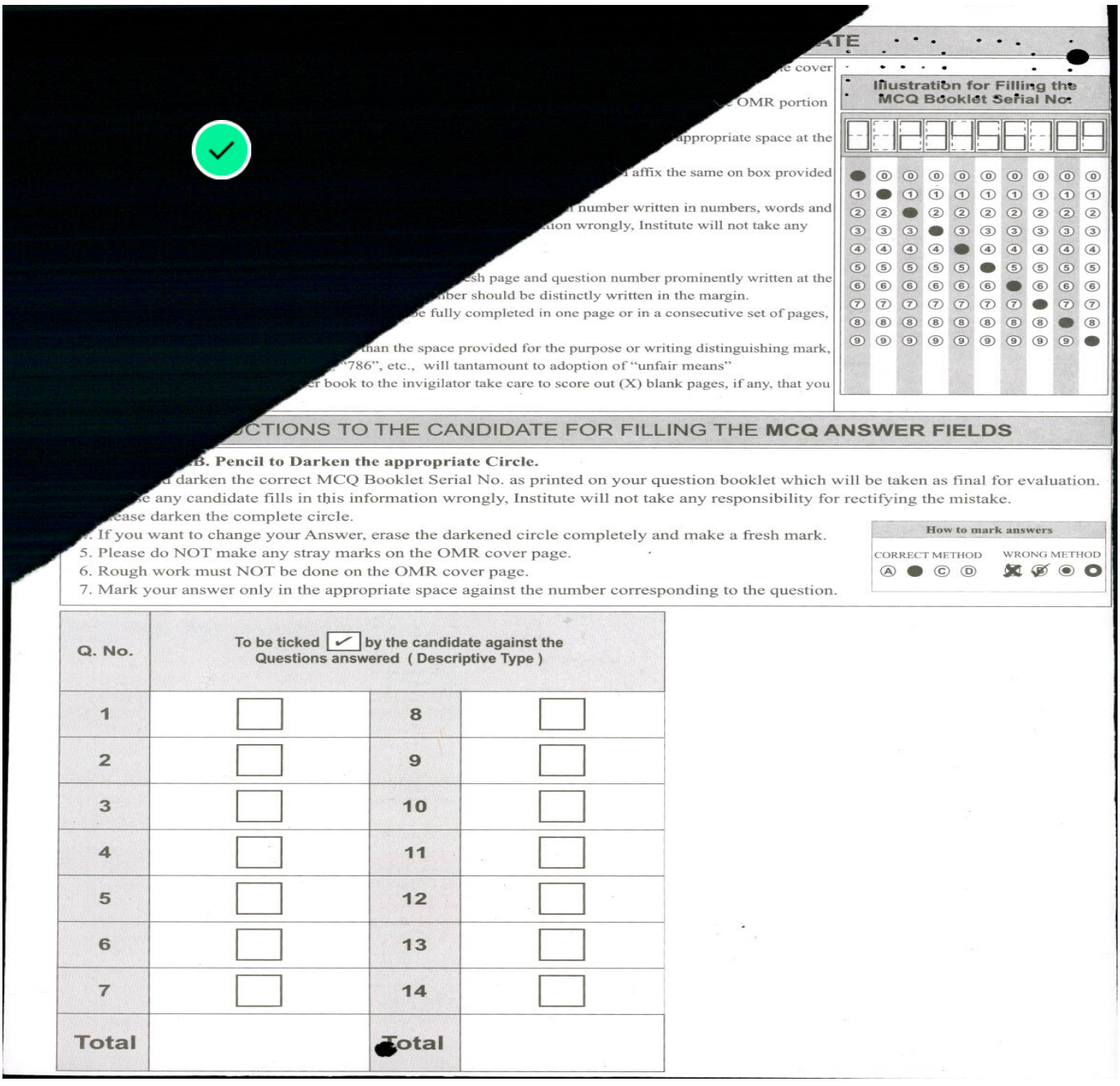
MCQ Answers

1	A	B	●	D	11	A	B	●	D	21	A	B	C	D
2	A	●	C	D	12	●	B	C	D	22	A	B	C	D
3	A	B	C	●	13	●	B	C	D	23	A	B	C	D
4	A	●	C	D	14	A	B	●	D	24	A	B	C	D
5	A	B	●	D	15	A	●	C	D	25	A	B	C	D
6	●	B	C	D	16	A	B	C	D	26	A	B	C	D
7	A	●	C	D	17	A	B	C	D	27	A	B	C	D
8	●	B	C	D	18	A	B	C	D	28	A	B	C	D
9	●	B	C	D	19	A	B	C	D	29	A	B	C	D
10	●	B	C	D	20	A	B	C	D	30	A	B	C	D

The Institute of Chartered Accountants of India

Code: FN2AF802425 **Total Marks:** 70

Subject : 02 Advanced Financial Management **Marks Obtained :** 34



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...CTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

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...e any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

...ease darken the complete circle.

2. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD WRONG METHOD

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1		8	
2		9	
3		10	
4		11	
5		12	
6		13	
7		14	
Total		Total	

03

Q2 (a)

i) $Re = R_f + \lambda_1 \beta_1 + \lambda_2 \beta_2$

Security - X

$Re = 6 + (4 \times 1.2) + (5 \times 0.5)$

$= 13.30\%$

Expected Return = 14%.

Since expected return (14%) > Re (13.30%),

X is underpriced [Ans].

∴ Buy.

Security - Y

$Re = 6 + (4 \times 0.8) + (5 \times 1.4)$

$= 16.20\%$.

Expected Return 16%.

Since Expected Return (16%) < Re (16.20%),

Y is overpriced. [Ans].

∴ Sell

2aStep1
2 Marks

ii) Weight of security-A = w

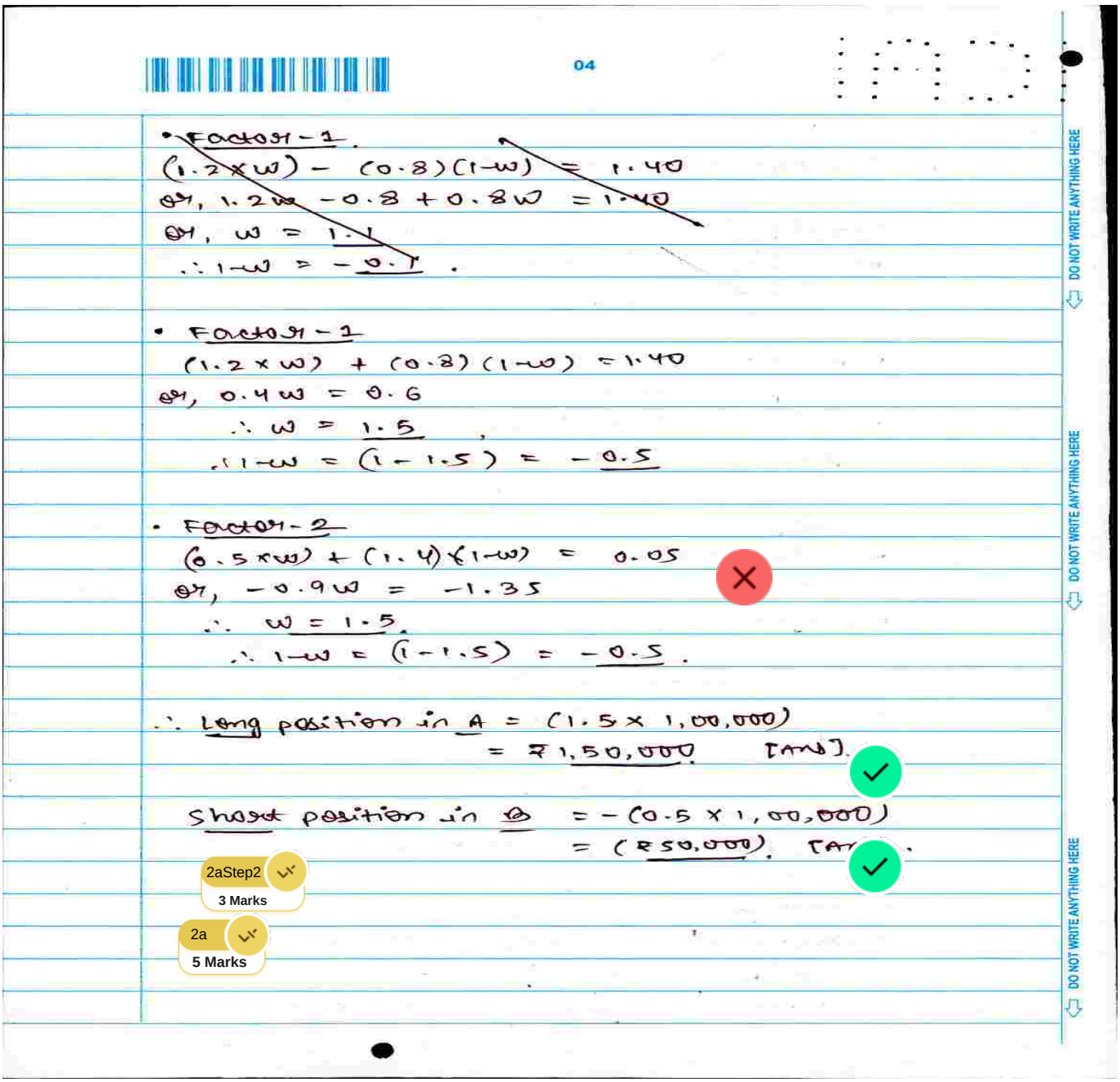
∴ weight of security-B = (1-w)

• Factor-1

$(1.2 \times w) + (0.8)(1-w) = 1.40$

Or, $1.2w + 0.8 - 0.8w = 1.40$

Or, $w = 1.5$ and $1-w = 1-1.5 = -0.5$



04

• Factor - 1.

$(1.2 \times w) - (0.8)(1-w) = 1.40$

Or, $1.2w - 0.8 + 0.8w = 1.40$

Or, $w = 1.1$

$\therefore 1-w = -0.1$.

• Factor - 1

$(1.2 \times w) + (0.8)(1-w) = 1.40$

Or, $0.4w = 0.6$

$\therefore w = 1.5$

$\therefore 1-w = (1-1.5) = -0.5$

• Factor - 2

$(0.5 \times w) + (1.4)(1-w) = 0.05$

Or, $-0.9w = -1.35$

$\therefore w = 1.5$.

$\therefore 1-w = (1-1.5) = -0.5$.

$\therefore$ Long position in A = $(1.5 \times 1,00,000)$

= ₹ 1,50,000 [Ans].

Short position in B = $-(0.5 \times 1,00,000)$

= (₹ 50,000). [An

2aStep2 — 3 Marks

2a — 5 Marks

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05

(b) Q2 (b)

i) Initiation (ITM, ATM, OTM)

Option	Type	Strike (X)	Share Price (S)	Payoff	Answer
A	Call	1920	2000	80	ITM
B	Call	2000	2000	—	ATM
C	Call	2080	2000	(80)	OTM
D	Put	1920	2000	(80)	OTM
E	Put	2000	2000	—	ATM
F	Put	2080	2000	80	ITM

Note :

In case of call option,
- $S > X \Rightarrow$ ITM
- $S < X \Rightarrow$ OTM
- $S = X \Rightarrow$ ATM.

In case of put option,
- $S < X \Rightarrow$ ITM
- $S > X \Rightarrow$ OTM
- $S = X \Rightarrow$ ATM.

Premium components

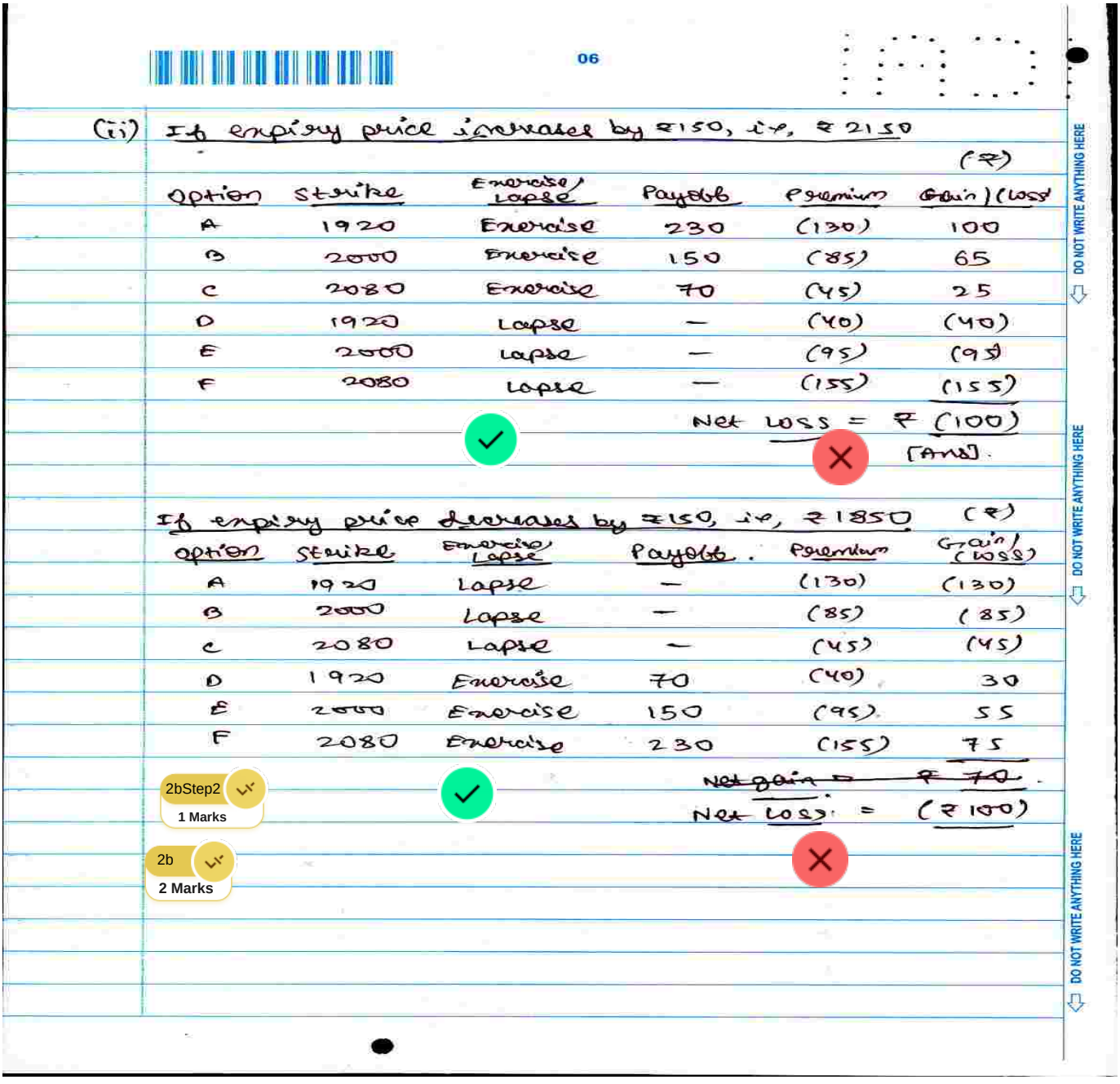
$$\text{Premium} = \frac{\text{Payoff expected at end of maturity}}{(1+rT)}$$

Option	Premium	Payoff at t=3	Time value component
A	130	131.950	1.950
B	85	86.275	1.275
C	45	45.675	0.675
D	40	40.60	0.60
E	95	96.425	1.425
F	155	157.325	2.325
		Intrinsic component	Time value component

[ANS]

2bStep1 ✓
1 Marks

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06

(ii) If expiry price increased by ₹150, i.e. ₹2150

Option	Strike	Exercise/ Lapse	Payoff	Premium	(₹) Gain/(Loss)
A	1920	Exercise	230	(130)	100
B	2000	Exercise	150	(85)	65
C	2080	Exercise	70	(45)	25
D	1920	Lapse	—	(40)	(40)
E	2000	Lapse	—	(95)	(95)
F	2080	Lapse	—	(155)	(155)

Net Loss = ₹ (100) [Ans]

If expiry price decreased by ₹150, i.e. ₹1850

Option	Strike	Exercise/ Lapse	Payoff	Premium	(₹) Gain/(Loss)
A	1920	Lapse	—	(130)	(130)
B	2000	Lapse	—	(85)	(85)
C	2080	Lapse	—	(45)	(45)
D	1920	Exercise	70	(40)	30
E	2000	Exercise	150	(95)	55
F	2080	Exercise	230	(155)	75

~~Net gain = ₹ 70~~.
Net Loss = (₹ 100)

2bStep2 1 Marks

2b 2 Marks

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07

Q2(c)

i) False

In early stage startups, valuation cannot be done based on discounted cash flow model using stable historical earnings because early stage startups do not have a long history. Moreover, their initial earnings are very unstable.

Their valuation is primarily based on Relative Valuation methods. For example, a digital startup may be valued using a metrics like no. of users.

ii) True

Venture capital involves staged financing to reduce agency problems and mitigate investment risk. They purchase equity-shares for long-term and provide further financing as company grows.

Seed Round — To develop an idea.
Startup Round — To develop prototype & marketing
First Round — Begin commercial production
Second Round — Working capital needs
Third Round — Expansion (Mezzanine Financing)
Fourth Round — Public offer (Bridge Financing).

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iii) True

Bootstrapping reduces dilution risk but may limit growth due to capital constraint. Since no external funding available, entity uses :

- Trade credit from suppliers
- Factoring of receivables
- Leasing of Fixed Assets.

All these limit growth due to capital constraints.

iv) False

An investors generally invest at a very early stage in a promising startup or when it is in a difficult phase.

Further, they offer more favourable terms and lesser control rights as compared to a Venture capitalist.

2cStep1 4 Marks

2c 4 Marks

2 11 Marks

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09

Q3 (a)

i) As per Interest Rate parity,

$$\frac{F}{S} = \frac{1 + r_{pc}}{1 + r_{BC}}$$

Forward Premium = $\frac{\text{Interest rate differential}}{\text{Periodic rate of base currency}}$

Option-A : India

Interest Rate = 9% p.a.

Option-B : EURO

Interest = 5% p.a.

Premium of EURO = $\frac{1.09}{1.05} - 1$

= 3.81% (approx).

∴ Total Interest cost = (5 + 3.81%) p.a.

= ~~8.81% p.a.~~ = 8.81% p.a.

Option-C : USA

Interest = 3% p.a.

Premium of USD = $\frac{1.09}{1.03} - 1$

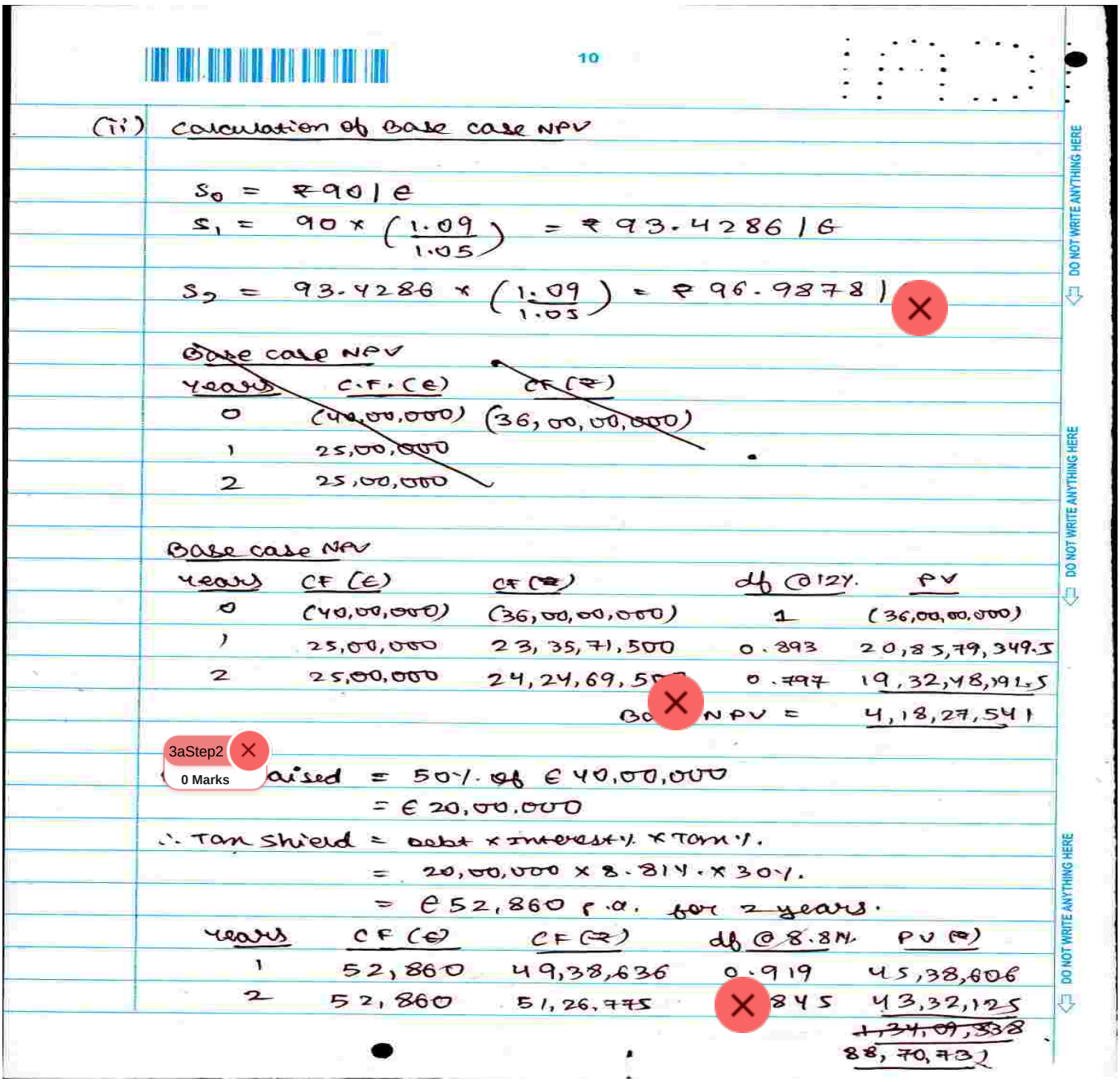
= 5.825% = 5.83% (approx)

∴ Total cost = (3 + 5.83%)

= 8.83% p.a.

3aStep1 ✗ 0 Marks

Cheapest Option is EURO (8.83% p.a.) (8.81% p.a.) because lowest cost. [Ans]



10

(ii) Calculation of Base case NPV

S_0 = ₹90 / €

$S_1 = 90 \times \left(\frac{1.09}{1.05}\right)$ = ₹93.4286 / €

$S_2 = 93.4286 \times \left(\frac{1.09}{1.05}\right)$ = ₹96.9878 /

Base case NPV

Years	C.F. (€)	CF (₹)
0	(40,00,000)	(36,00,00,000)
1	25,00,000	
2	25,00,000	

Base case NPV

Years	CF (€)	CF (₹)	df @12%	PV
0	(40,00,000)	(36,00,00,000)	1	(36,00,00,000)
1	25,00,000	23,35,71,500	0.893	20,85,79,349.5
2	25,00,000	24,24,69,5[illegible]	0.797	19,32,48,191.5
			Base case NPV =	4,18,27,541

3aStep2
0 Marks

Debt raised = 50% of € 40,00,000
= € 20,00,000

∴ Tax shield = debt × interest% × Tax%.
= 20,00,000 × 8.81% × 30%.
= € 52,860 p.a. for 2 years.

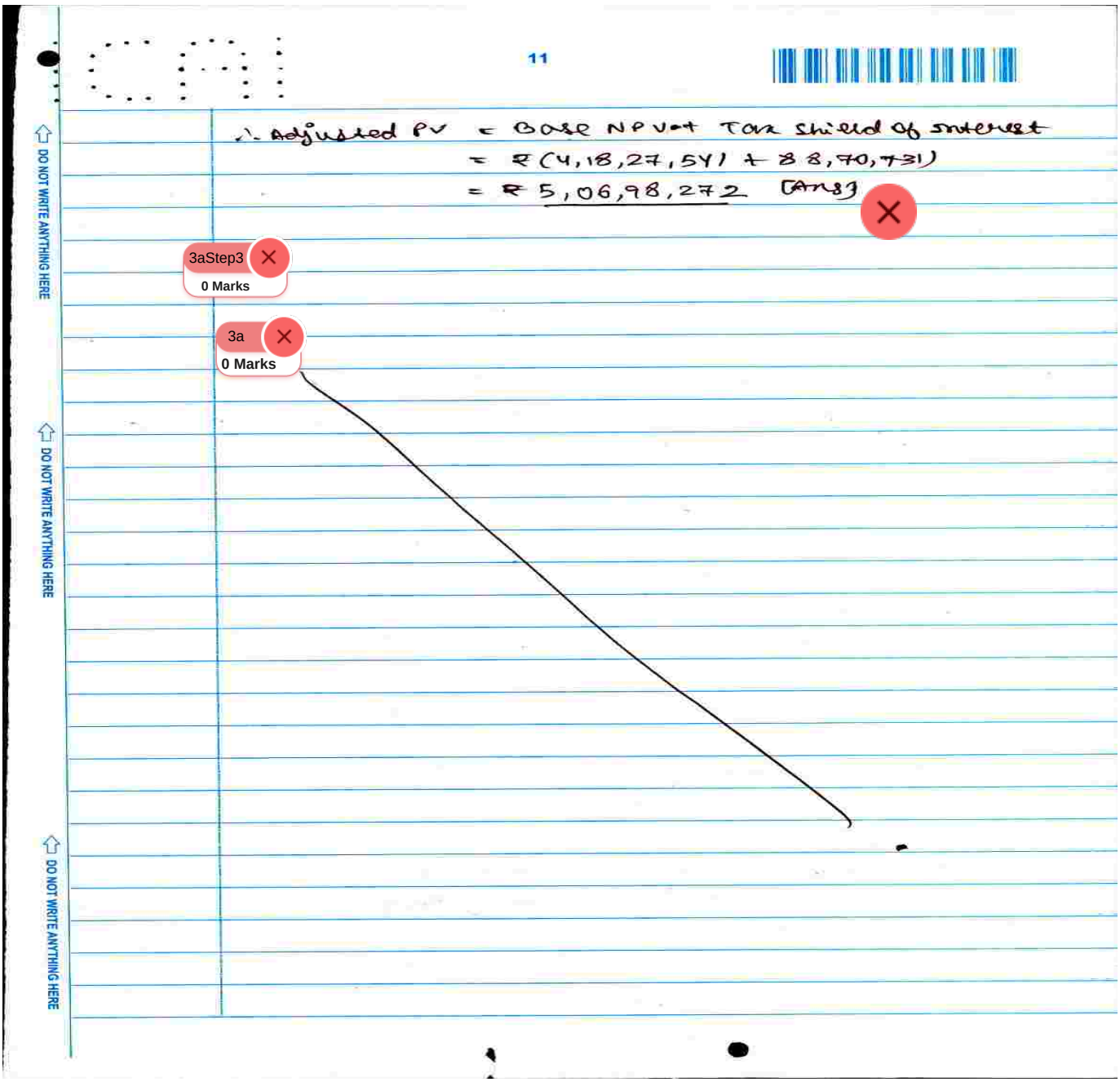
Years	CF (€)	CF (₹)	df @8.81%	PV (₹)
1	52,860	49,38,636	0.919	45,38,806
2	52,860	51,26,775	845	43,32,125
				~~1,34,09,338~~ 88,70,931

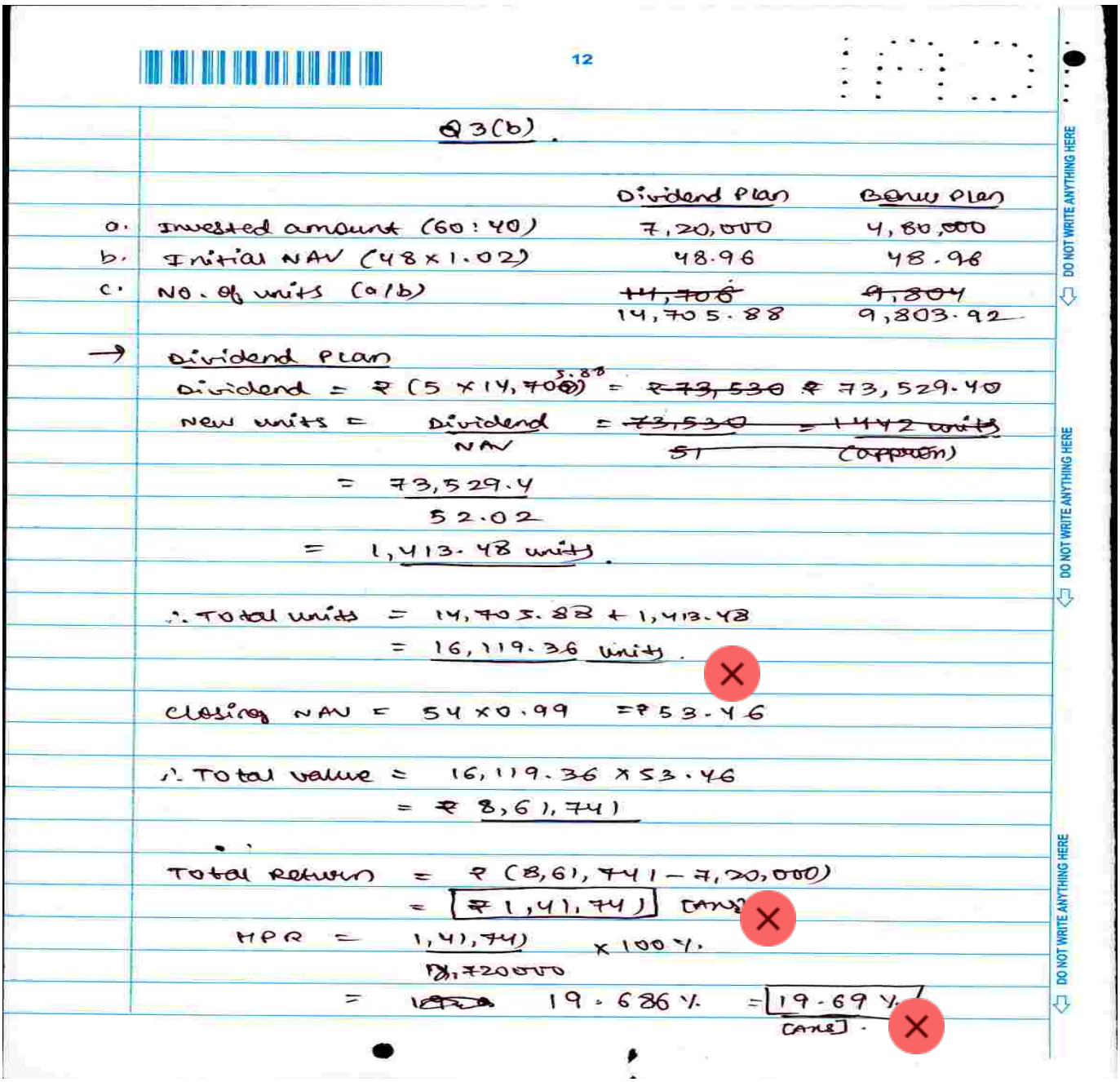
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The Institute of Chartered Accountants of India

Code: FN2AF802425 **Total Marks:** 70

Subject : 02 Advanced Financial Management **Marks Obtained :** 34





12

Q3(b).

		Dividend Plan	Bonus Plan
a.	Invested amount (60 : 40)	7,20,000	4,80,000
b.	Initial NAV (48 × 1.02)	48.96	48.96
c.	No. of units (a/b)	~~14,706~~ 14,705.88	~~9,804~~ 9,803.92

→ Dividend Plan

Dividend = ₹ (5 × 14,705.88) = ~~₹73,530~~ ₹ 73,529.40

New units = Dividend / NAV = ~~73,530 / 51 = 1442 units~~ (approx)

= 73,529.4 / 52.02

= 1,413.48 units.

∴ Total units = 14,705.88 + 1,413.48

= 16,119.36 units.

Closing NAV = 54 × 0.99 = ₹ 53.46

∴ Total value = 16,119.36 × 53.46

= ₹ 8,61,741

Total Return = ₹ (8,61,741 − 7,20,000)

= ₹ 1,41,741 [CANT]

HPR = 1,41,741 / ₹7,20,000 × 100 %.

= ~~19.686 %~~ 19.686 % = 19.69 % [CANT].

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→ **Bonus Plan.**

New units = $9803.92 \times \left(\frac{5}{4}\right)$

= 12,254.9 units ✓

∴ Total value on 31/3/26 = $(12,254.9 \times 528 \times 0.99)$

~~= ₹6,37,255~~

= ₹6,30,882

∴ Total Return = ~~₹(6,37,255~~

= ₹(6,30,882 − 480000)

= **₹1,50,882** [Ans]

∴ HPR = $\frac{1,50,882}{480000} \times 100\%$.

= **31.43%** [Ans] ✓

Effective Return [Holding period = 1 year].

Dividend Plan = 19.69% p.a.

Bonus Plan = 31.43% p.a.

∴ **Bonus Plan** has higher effective return.

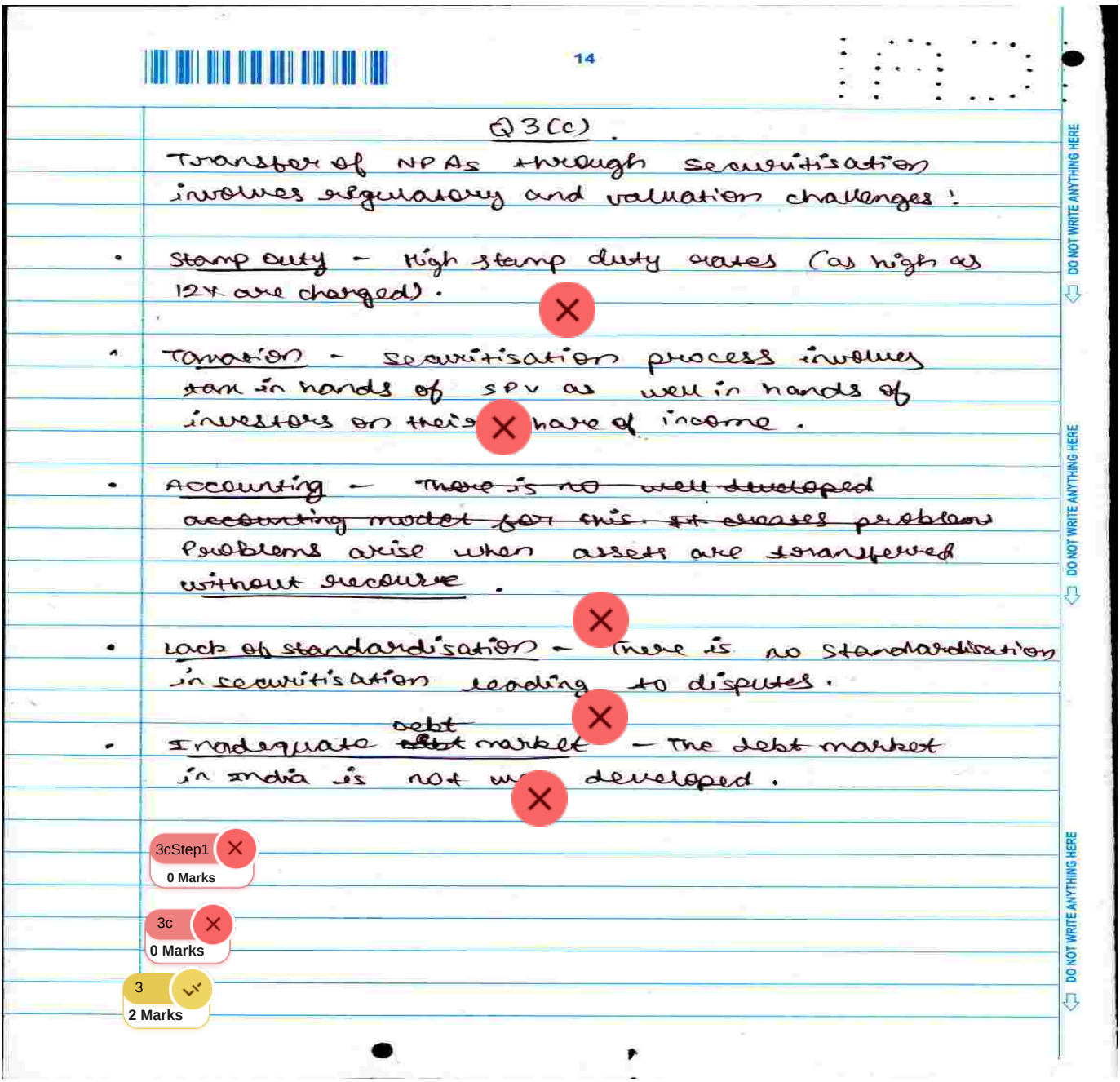
3bStep1 ✓ 2 Marks

3b ✓ 2 Marks

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14

Q3(c)

Transfer of NPAs through securitisation involves regulatory and valuation challenges :

- Stamp duty - High stamp duty rates (as high as 12% are charged).
- Taxation - Securitisation process involves tax in hands of SPV as well in hands of investors on their share of income.
- Accounting - ~~There is no well developed accounting model for this. It creates problems~~ Problems arise when assets are transferred without recourse.
- Lack of standardisation - There is no standardisation in securitisation leading to disputes.
- Inadequate ~~debt~~ debt market - The debt market in India is not well developed.

3cStep1 0 Marks

3c 0 Marks

3 2 Marks

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Q1 (a)

Step-1 : Initial investment

= 4000 million VL

$= ₹\left(\frac{4000}{50}\right)$ [@ spot rate swap]

= ₹ 80 million.

Step-2 : Annual cash flows

Years	CF (VL mn.)	Forward	CF (₹ million)
1	80	53	1.5094
2	80	56.18	1.4240
3	80	59.55	1.3434
4	80	63.12	1.2674

Years	CF (₹ mn)	df @14% p.a	PV (₹ mn)
1	1.5094	0.877	1.323
2	1.4240	0.769	1.095
3	1.3434	0.675	0.906
4	1.2674	0.592	0.750
			4.075

Step-3 : Terminal value

₹ value through swap = $\frac{4000 \text{ VL mn}}{50}$ = ₹ 80 mn.

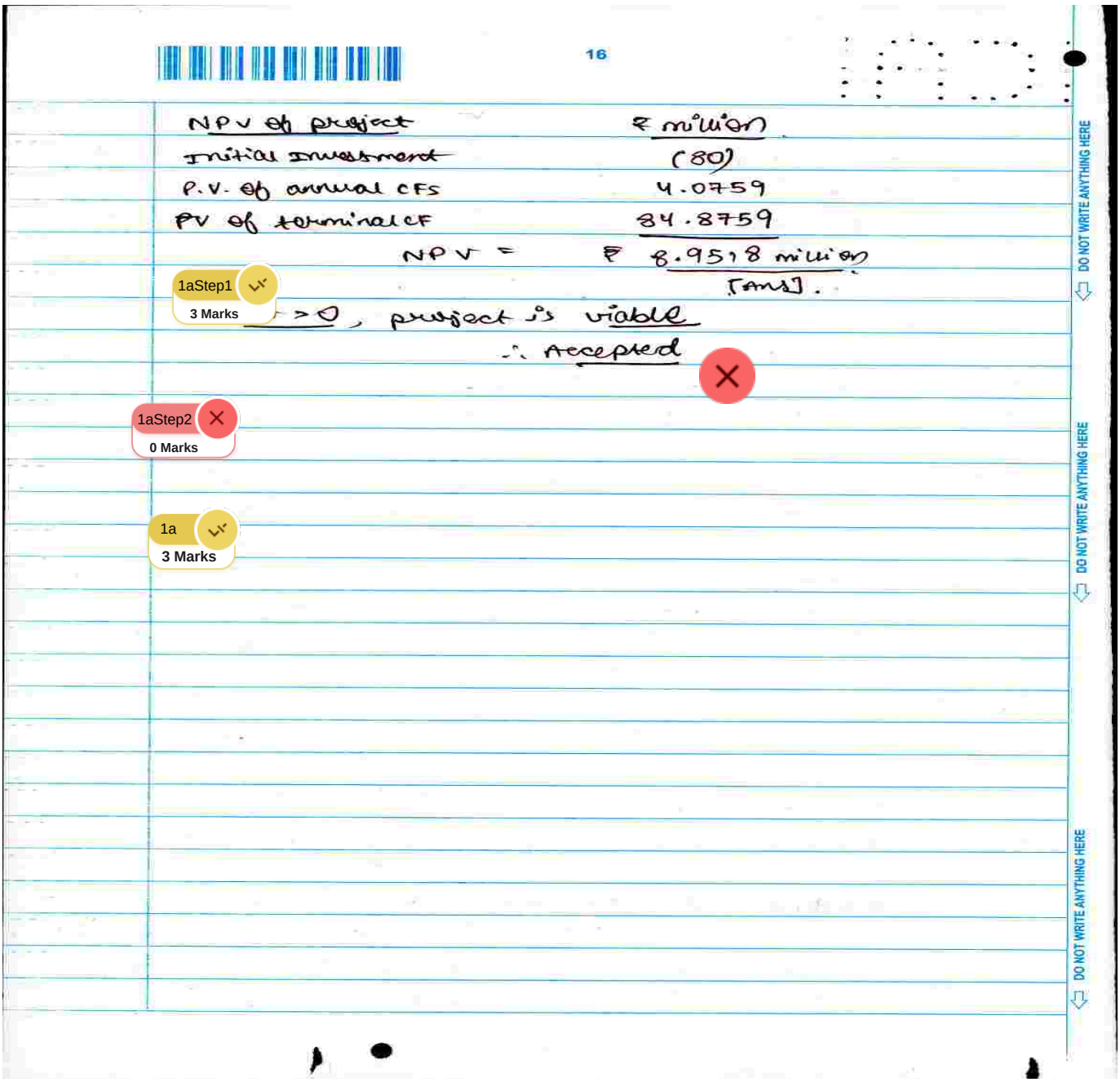
₹ value through Forward (Balance) = $\frac{4000 \text{ VL mn}}{63.12}$ = ₹ 63.3714 mn.

∴ PV of Terminal value = ₹ (80 + 63.3714) × 0.592

= ₹ 84.8759 million.

The Institute of Chartered Accountants of India

Code: FN2AF802425 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 34



17

Q1(b).

i) Using H-model,

Intrinsic value

$= \frac{D_0(1+g_n)}{Re - g_n} + \frac{D_0(g_a - g_n) \times H}{Re - g_n}$.

D_0 = ₹ 40.

$H = \frac{1}{2} \times$ abnormal period $= \frac{1}{2} \times 5 = 2.50$.

g_n = normal growth = (12 × 50%) = 6%.

g_a = abnormal growth = 15%.

$\therefore IV_0 = \frac{40(1.06)}{0.13 - 0.06} + \frac{40 \times 9\% \times 2.50}{0.13 - 0.06}$

$= 605.71 + 128.57$

$=$ ₹ 734.29. [ANS].

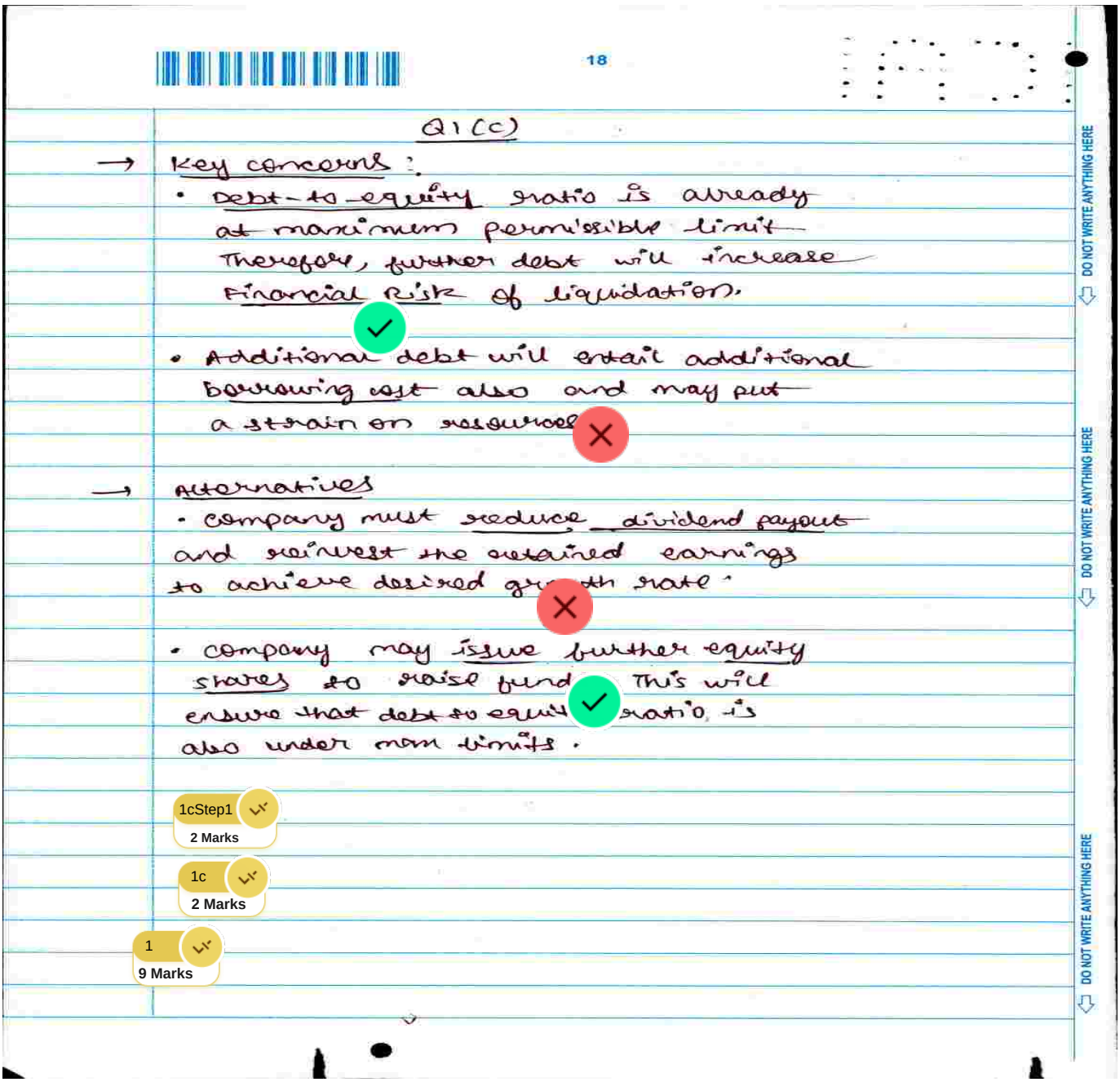
ii) Since current price (₹850) > IV_0 (734.29), the stock is overvalued

% deviation $= \frac{850 - 734.29}{734.29} \times 100\%$

$= 15.76\%$ [Approx]

1bStep1 4 Marks

1b 4 Marks



18

Q1(c)

→ Key concerns :

- Debt-to-equity ratio is already at maximum permissible limit. Therefore, further debt will increase Financial Risk of liquidation.
- Additional debt will entail additional borrowing cost also and may put a strain on resources.

→ Alternatives

- Company must reduce dividend payout and reinvest the retained earnings to achieve desired growth rate.
- Company may issue further equity shares to raise fund. This will ensure that debt to equity ratio is also under norm limits.

1cStep1 ✓ 2 Marks

1c ✓ 2 Marks

1 ✓ 9 Marks

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Q4 (a)

i) Treynor Ratio = $\frac{E(R_i) - R_f}{\beta_i}$

Security	$R_i - R_f$	β_i	Treynor Ratio $\left(\frac{R_i - R_f}{\beta_i}\right)$
A	11%	1.4	7.857
B	9%	1.1	8.182
C	7%	0.9	7.777
D	5%	0.6	8.333

Given, cut-off rate (C^*) = 7.95

We select securities with Treynor Ratio > C^*.

∴ Securities included are B and D (Ans)

ii) $Z_i = \frac{\beta}{\sigma R}(TR - C^*)$

$Z_B = \frac{1.1}{0.0196}(8.182 - 7.95) = 13.0204$

$Z_D = \frac{0.6}{0.01}(8.333 - 7.95) = 22.98$

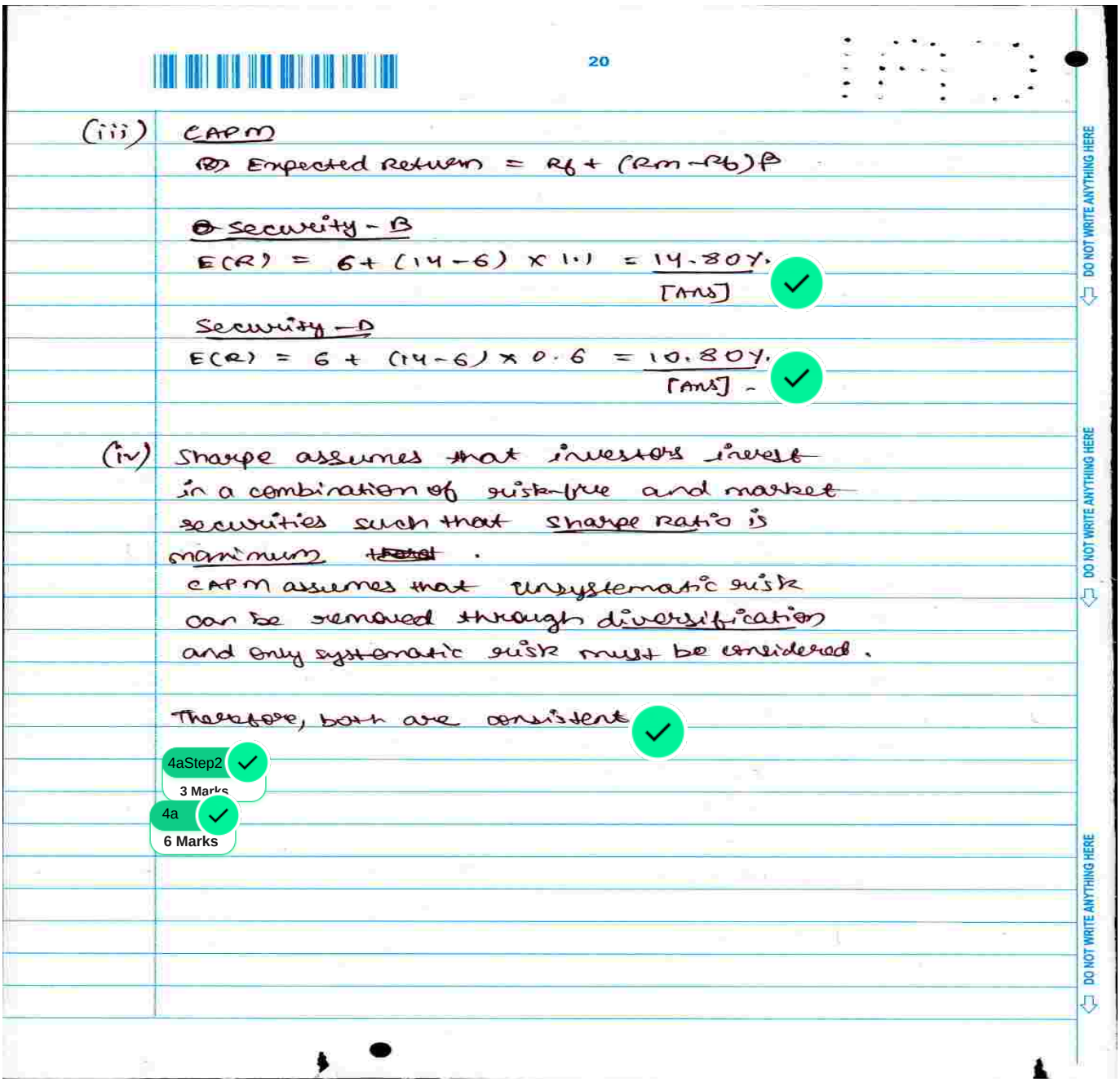
$\Sigma Z = (13.0204 + 22.98) = 36.0004$

∴ weight of B = $\frac{13.0204}{36.0004} = 36.17$

weight of D = $\frac{22.98}{36.0004} = 63.83$

(Ans).

4aStep1
3 Marks



20

(iii) CAPM

Expected Return = $R_f + (R_m - R_f)\beta$

Security - B

$E(R) = 6 + (14-6) \times 1.1 = 14.80\%$

[ANS]

Security - D

$E(R) = 6 + (14-6) \times 0.6 = 10.80\%$

[ANS]

(iv) Sharpe assumes that investors invest in a combination of risk-free and market securities such that Sharpe Ratio is maximum.

CAPM assumes that unsystematic risk can be removed through diversification and only systematic risk must be considered.

Therefore, both are consistent

4aStep2
3 Marks

4a
6 Marks

DO NOT WRITE ANYTHING HERE

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Q4 (b)

i)

Period	NAV	Prem/Dix	Revised NAV	Return % $(NAV_1 - NAV_0)/NAV_0$
0	20	—	20	—
1	22.5	−5%	21.375	6.875%
2	19.5	2.3%	19.9485	(6.674%)
3	21	−3.2%	20.328	1.9024%
4	22.3	4%	23.192	14.089%

ii) Initial cost = (20 × 1000) = ₹20,000

Final sales value = 23.192 × 1000 = ₹23,192

∴ Return = ₹ (23,192 − 20000) = ₹3,192.

Average Return per period $= \left(\frac{23,192}{20,000}\right)^{1/4} - 1$

$= 3.77\%$ per period. [A ✗

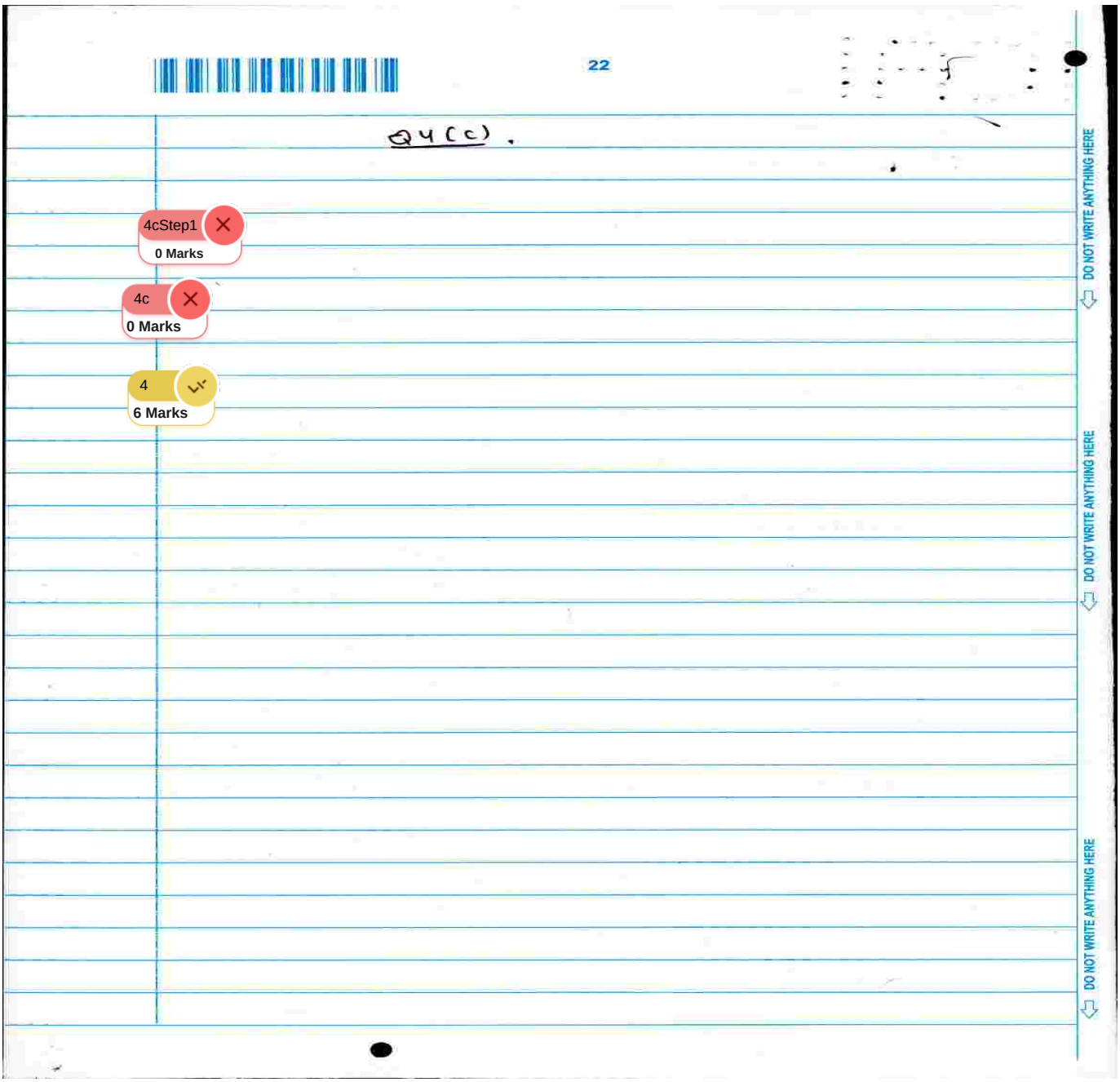
iii) Growth Rate in NAV (Geometric) $= \left(\frac{23.192}{20}\right)^{1/4} - 1$

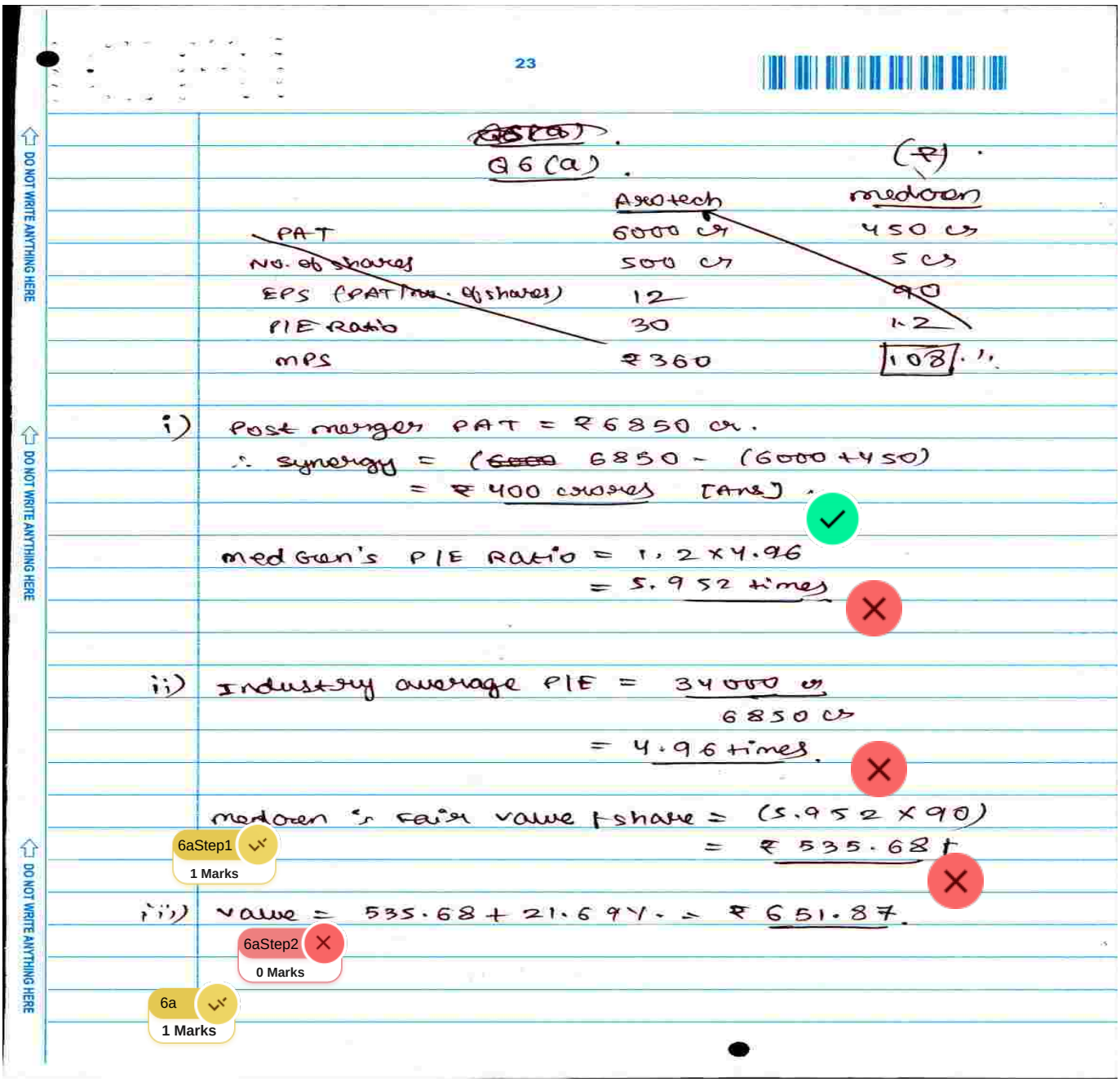
$= 3.77\%$ per period

It shows an upward trend. (bullish) ✗

4bStep1 ✗ 0 Marks

4b ✗ 0 Marks


22
Q4(c).
4cStep1
0 Marks
4c
0 Marks
4
6 Marks
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DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE



23

Q6 (a)

	Axotech	medcen (₹)
PAT	6000 Cr	450 Cr
No. of shares	500 Cr	5 Cr
EPS (PAT / No. of shares)	12	90
PIE Ratio	30	1.2
MPS	₹360	108

i) Post merger PAT = ₹6850 Cr.

∴ Synergy = 6850 − (6000 + 450)

= ₹400 crores [Ans]

medGen's PIE RATIO = 1.2 × 4.96

= 5.952 times

ii) Industry average PIE = 34000 Cr / 6850 Cr

= 4.96 times

medcen's Fair value / share = (5.952 × 90)

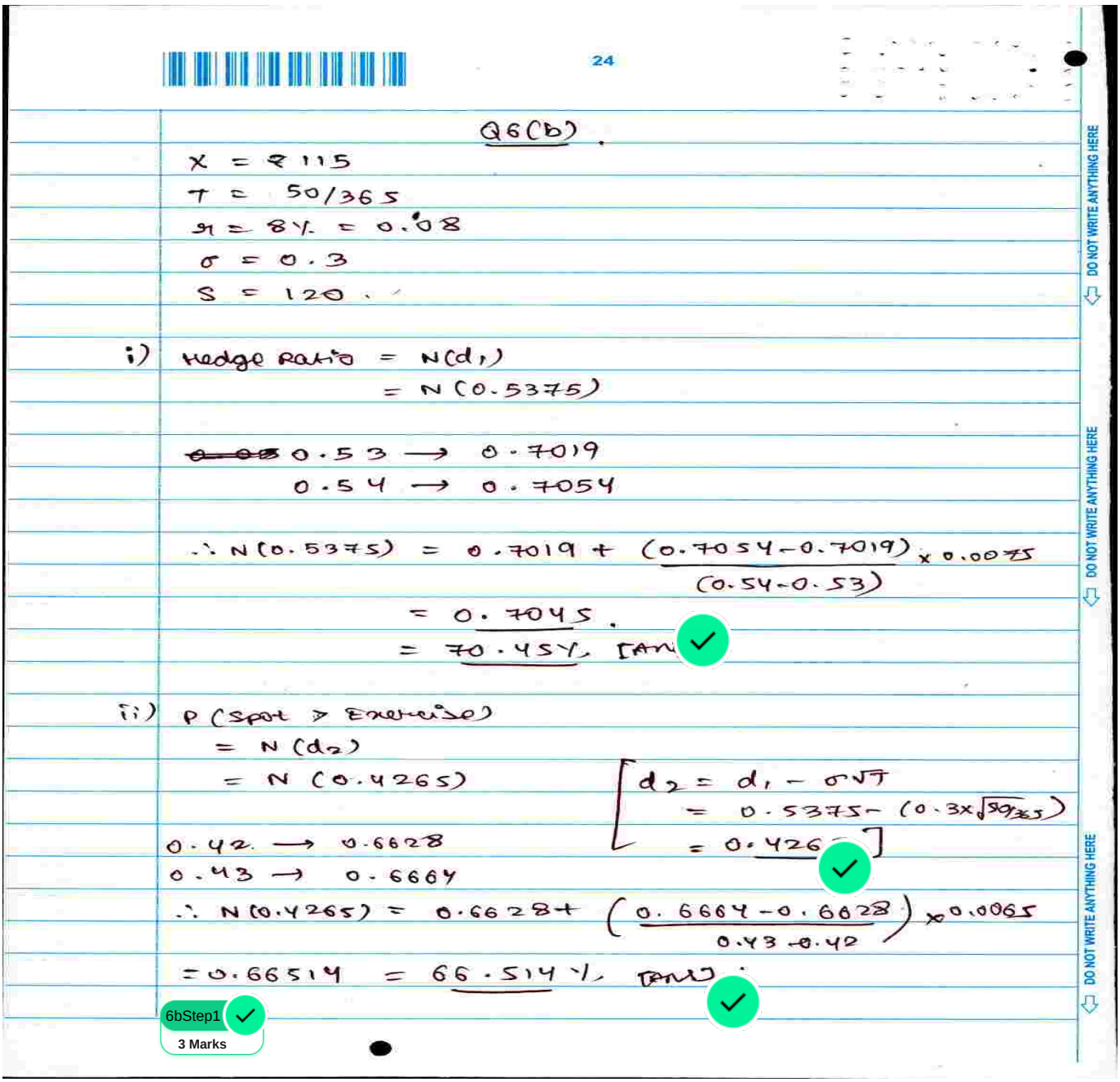
= ₹535.68

iii) Value = 535.68 + 21.69% = ₹651.87

6aStep1 — 1 Marks

6aStep2 — 0 Marks

6a — 1 Marks



24

Q6(b)

$X = ₹115$

$T = 50/365$

$r = 8\% = 0.08$

$\sigma = 0.3$

$S = 120$

i) Hedge Ratio $= N(d_1)$

$= N(0.5375)$

0.53 → 0.7019

0.54 → 0.7054

$\therefore N(0.5375) = 0.7019 + \frac{(0.7054 - 0.7019)}{(0.54 - 0.53)} \times 0.0075$

$= 0.7045$.

$= 70.45\%$ [ANS]

ii) P (Spot > Exercise)

$= N(d_2)$

$= N(0.4265)$

$d_2 = d_1 - \sigma\sqrt{T}$

$= 0.5375 - (0.3 \times \sqrt{50/365})$

$= 0.426$]

0.42 → 0.6628

0.43 → 0.6664

$\therefore N(0.4265) = 0.6628 + \left(\frac{0.6664 - 0.6628}{0.43 - 0.42}\right) \times 0.0065$

$= 0.66514 = 66.514\%$ [ANS]

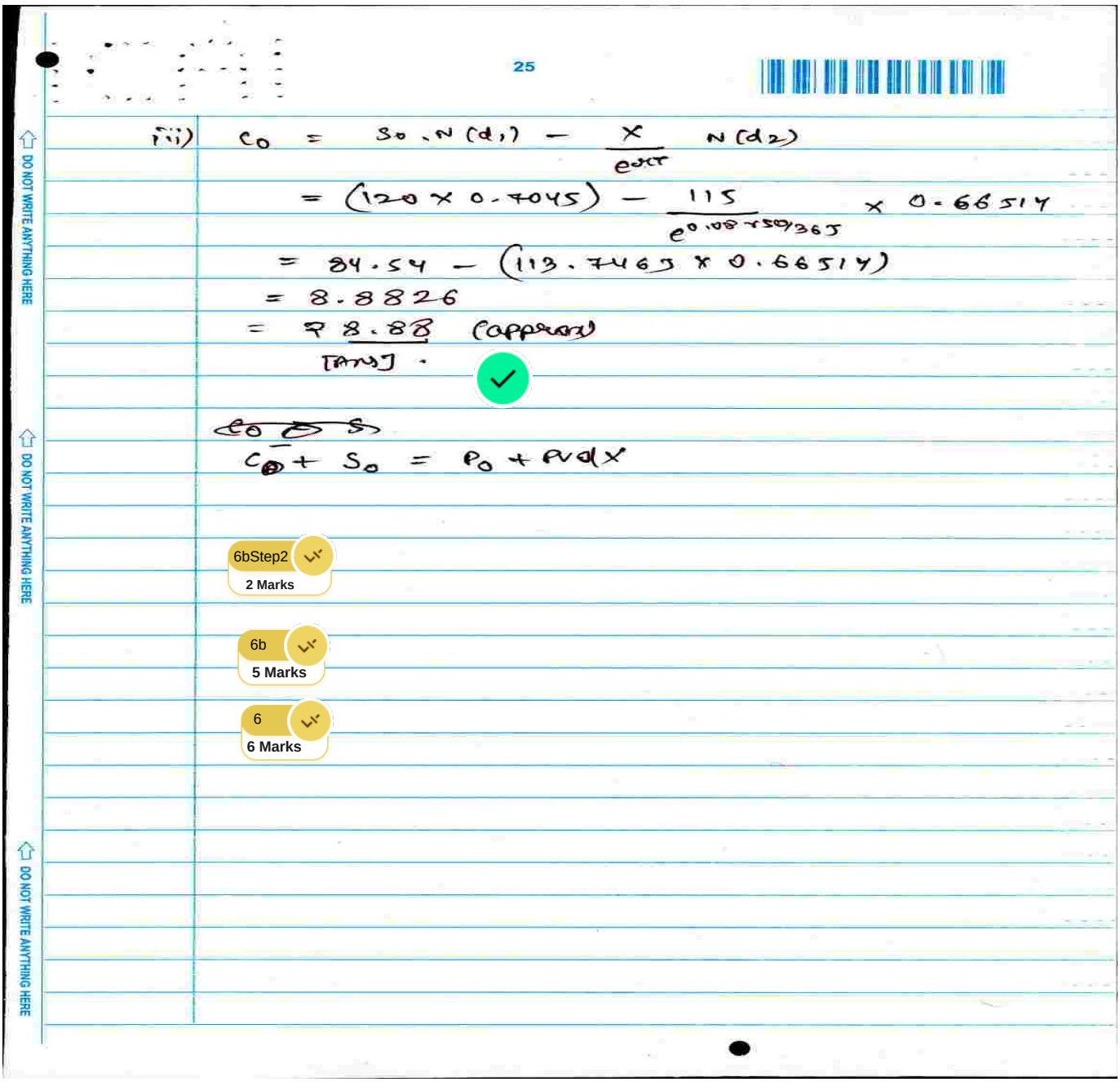
6bStep1

3 Marks

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25

(ii) $C_0 = S_0 \cdot N(d_1) - \frac{X}{e^{rt}} N(d_2)$

$= (120 \times 0.7045) - \frac{115}{e^{0.08 \times 59/365}} \times 0.66514$

$= 84.54 - (113.7465 \times 0.66514)$

$= 8.8826$

$= ₹ 8.88$ (approx)

[Any].

$C_0 + S_0 = P_0 + PV(X)$

6bStep2 L1
2 Marks

6b L1
5 Marks

6 L1
6 Marks

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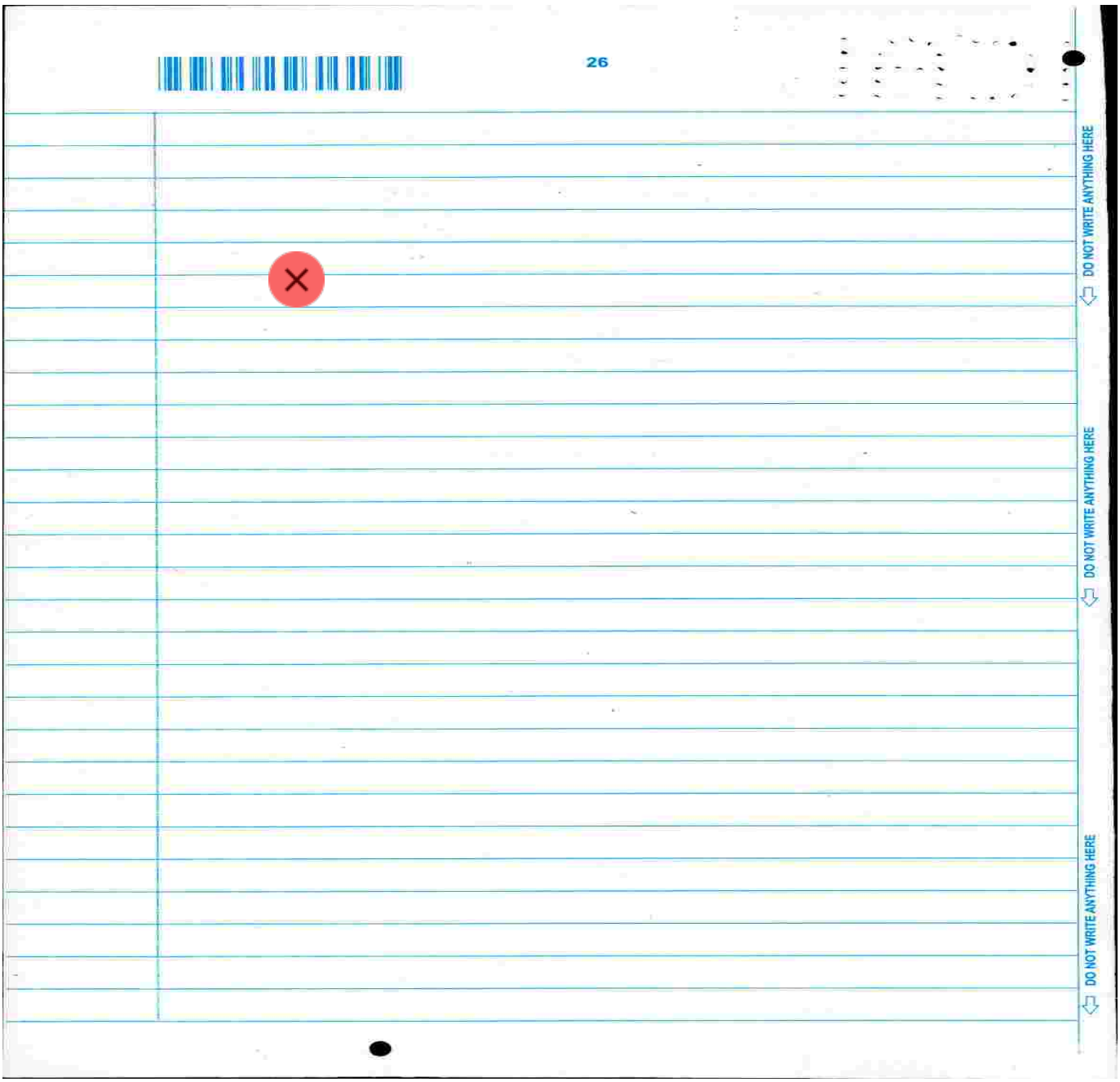
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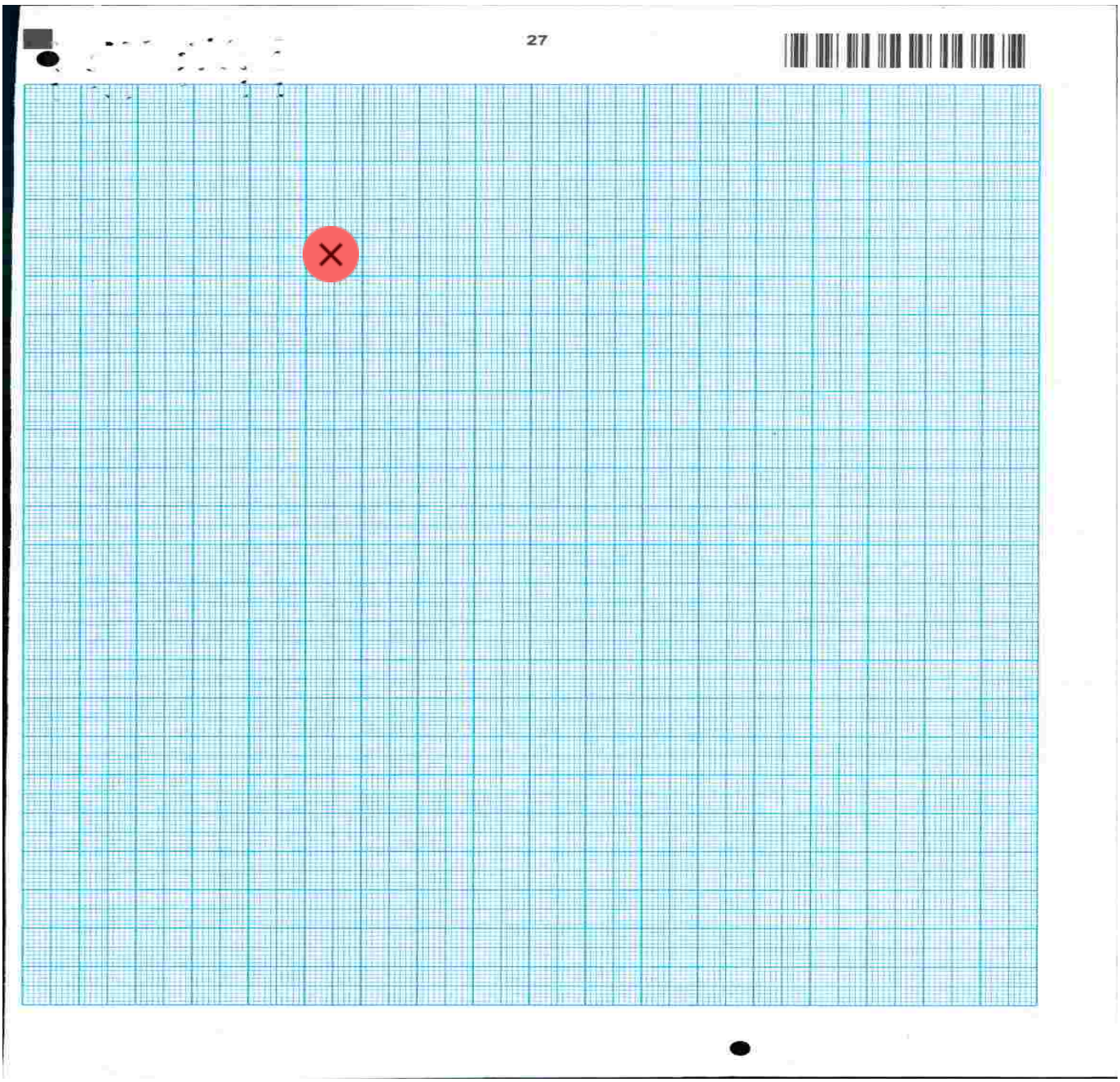
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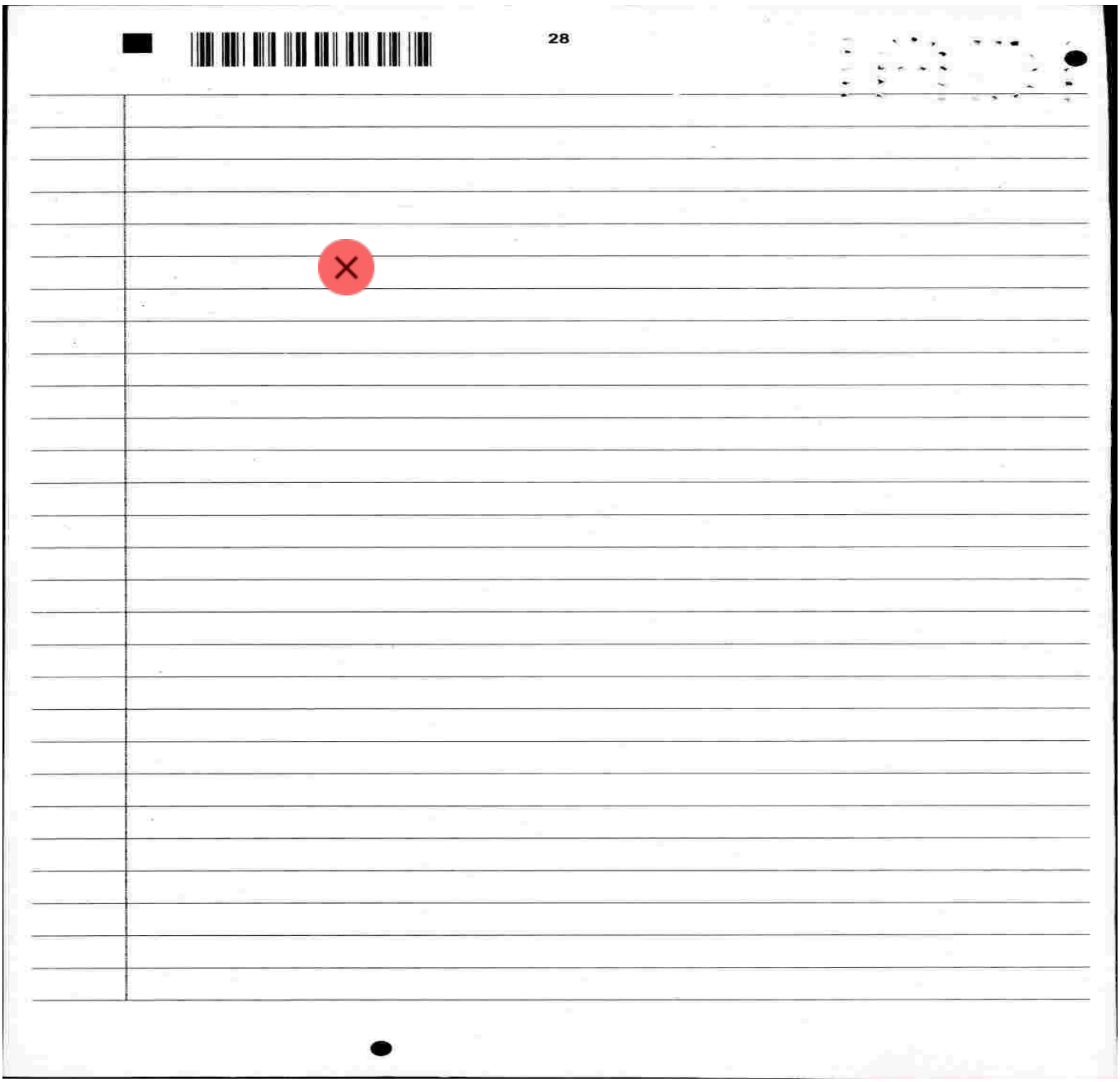
The Institute of Chartered Accountants of India

Code: FN2AF802425 **Total Marks:** 70

Subject : 02 Advanced Financial Management **Marks Obtained :** 34




27


28

The Institute of Chartered Accountants of India

Code: FN2AF802425 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 34

Result Overview

Awarded Marks:34	Max Marks:70

Not Attempted	Optional	M Marked

Q1_Compulsory (Score: 9/14)

Question No	Awarded Marks	Maximum Marks	Status
1	9	14	M
1a	3	6	M
1b	4	4	M
1c	2	4	M

Q2_Q6 (Score: 25/56)

Question No	Awarded Marks	Maximum Marks	Status
2	11	14	M
2a	5	6	M
2b	2	4	M
2c	4	4	M
3	2	14	M
3a	0	6	M

3b	2	4	M
3c	0	4	M
4	6	14	M
4a	6	6	M
4b	0	4	M
4c	0	4	M
5	0	14	♈
5a	0	5	♈
5b	0	7	♈
5c	0	2	♈
6	6	14	M
6a	1	7	M
6b	5	7	M